RELIANCE BAKING SODA

Optimizing Promotional Spending

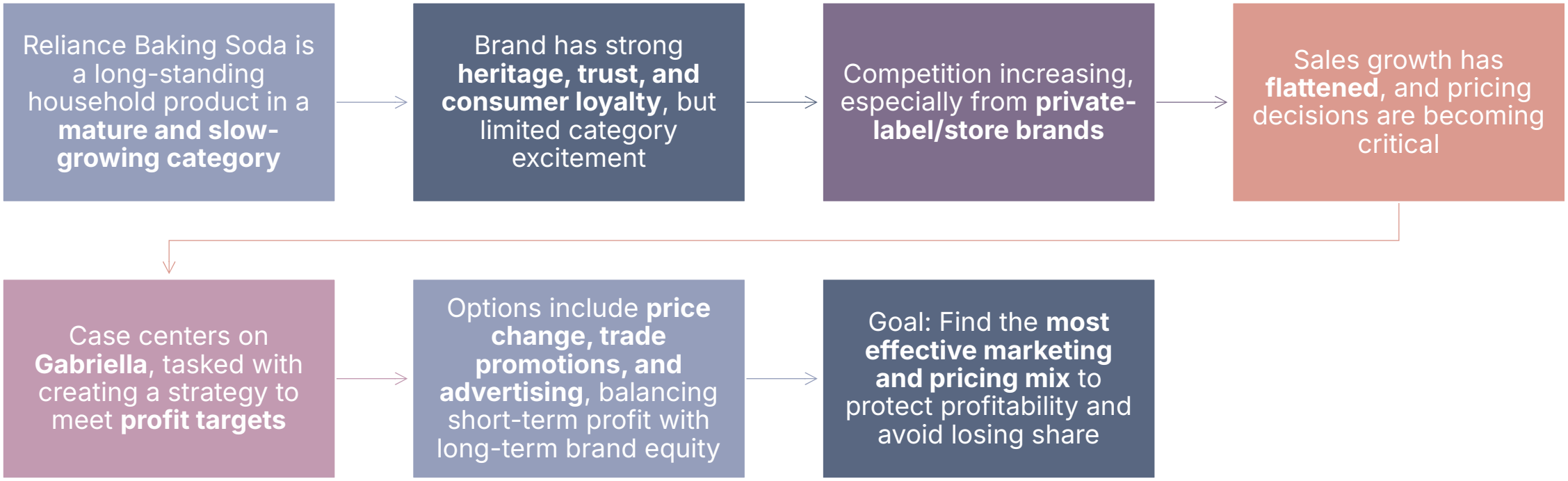
Strategic Analysis & Recommendations

Group D: Medin, Luke, Blenda, Pedzisai & Esmeralda

MBA645: Marketing Decision Making



INTRODUCTION(SITUATION OVERVIEW)



PRIMARY & SECONDARY ISSUES

Primary Issue

Decide the most effective pricing + marketing strategy to **boost profits** while **protecting Reliance's brand and long-term demand**

Secondary Issues

Growing competition from **private-label baking soda**

Keeping **price-sensitive loyal customers**

Choosing between **trade promotions vs. consumer advertising**

Retailer pressure in a **low-growth category**

Avoiding short-term moves that **weaken brand equity**

MARKET POSITIONING



Baking soda holds 70% of the market, making it the top choice in its category.



People know it as a versatile and reliable cleaner and deodorizer.



Our main shoppers are women aged 35–55. They are very loyal, but don't remember our ads that well.



We face competition from cheaper store brands and higher-end specialized cleaners.

THREE STRATEGIC ALTERNATIVES

Alternative	Strategy	Pros	Cons
Change Price, Keep Promotion	Raise prices slightly, keep current promotions	Quick profit boost; minimal disruption	Ignores weak consumer engagement; risk of trade-down to private labels
Keep Price, Change Promotion	Keep prices stable, shift funds to consumer marketing	Builds brand equity; protects affordability	Slower financial impact; potential retailer pushback
Hybrid Approach	Small price hike + cut ineffective trade promos	Balances profit and brand growth; supports targeted advertising	Requires retailer coordination

2008 BUDGET SCENARIOS
THREE STRATEGIC ALTERNATIVES

SCENARIO 1	SCENARIO 2	SCENARIO 3
Price Increase	Promo Optimization	Balanced Approach
Price Change:+5%	Price Change:0%	Price Change:+3%
Volume Impact:-4%	Volume Impact:-2%	Volume Impact:-3%
Promotions:$11,011k	Promotions:$10,725k	Promotions:$10,625k
Gross Sales:$56,789k	Gross Sales:$54,177k	Gross Sales:$56,489k
Profit:$20,141k	Profit:$18,523k	Profit:$21,850k
vs Target:-$446k	vs Target:-$2,064k	vs Target:+$1,263k

Why Scenario 3?

Balanced approach achieves profit target while building long-term brand health. Moderate 3% price increase is defensible (11% cost increase in 2007), while promotional optimization shifts investment from inefficient trade deals to consumer-building activities.

PROMOTIONAL ROI & NET PROFIT ANALYSIS(2006)

Scenario	ROI	Net Profit ($000)	Goal Met?
Price Change Only	1.25	19,450	Yes
Promotion Change Only	1.20	18,965	Yes
Combined Change	1.35	20,480	Yes(the best option)

- **ROI Formula:**
- *ROI=* Incremental Contribution/Cost of Promotion

PUSH VS. PULL STRATEGY

Aspect	Push Strategy	Pull Strategy
Focus	Retailers / Distributors	Consumers
Cost	Lower (trade promotions, incentives)	Higher (advertising, campaigns)
Speed of Sales Impact	Fast	Slow
Brand Loyalty / Equity	Limited	Builds long-term loyalty
Shelf Presence / Availability	High	Dependent on consumer demand
Risk in Mature Market	Overstock / Price wars	Marketing spend may not yield proportional demand
Best Use in RBS Case	Ensures wide availability and immediate sales	Differentiates brand and encourages repeat purchase

RELATIVE COMPARISON FOR LOW-INVOLVEMENT, LOW-PRICE PRODUCT

POINT-OF-PURCHASE (POP) STRATEGY (ENHANCING IN-STORE ENGAGEMENT)



Goal: Influence purchase decisions at the shelf.

Tactics:

- Eye-catching displays (riser cards, shelf talkers, end-caps).
- Educational tips on versatile uses (cleaning, deodorizing, baking).
- Bundled offers (twin packs, cross-merchandising).
- Seasonal themes for relevance and urgency.
- QR codes for videos/recipes to engage shoppers.

Benefits:

- Drives impulse purchases.
- Strengthens brand visibility vs. private labels.
- Supports consumer promotions at point of decision.

RECOMMENDED STRATEGY

Line Item	Strategy 1	Strategy 2	Strategy 3
Gross Sales	56,703	55,051	56,703
Variable Manufacturing Costs	25,325	25,325	25,325
Gross Margin	31,378	29,726	31,378
Advertising	4,757	4,757	4,757
PR/Media Production Costs	198	198	198
Consumer Promotion	551	827	827
Trade Promotion	5,505	4,955	4,955
Total Marketing Expenses	11,011	10,737	10,737
Profit before SG&A	20,367	18,989	20,641
Profit Increase %	8.80%	1.50%	10.30%

IMPLEMENTATION PLAN

What: Raise prices by 3%, cut trade promotions by 10%, and increase consumer promotions by 50% to drive profit growth.

Where: Apply changes across all U.S. retail channels grocery, drug, warehouse, and mass merchandisers.

Who: Led by Anna Regnante with support from the sales and marketing teams (Tessa Simon managing advertising).

When: Launch at the start of 2008, with promotions rolling out during key cleaning and holiday seasons.

How: Reallocate promotional spending toward high-ROI consumer campaigns, highlight RBS's safety and versatility, and coordinate between marketing and sales for consistent execution.

RISK & METRICS

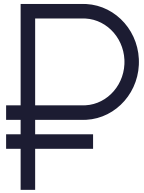


Key Risks:

Consumer backlash or switching to cheaper private-label brands after price increase.

Reduced trade promotions could strain retailer relationships or lower shelf visibility.

Consumer promotions may underperform if not well targeted.



Metrics to Track:

Financial: Profit margin, total sales, and promotional ROI.

Marketing: Coupon redemption rates, ad recall, and engagement levels.



Retail: Inventory turnover, reorder frequency, and display presence.



QUESTIONS

Q1: Why is a hybrid push–pull strategy optimal for RBS?
Q2: How can trade promotions drive long-term value instead of short-term spikes?
Q3: What role does POP advertising play in profitability?



REFERENCE

- Harvard Business School Briefcases. (n.d.). *Reliance Baking Soda: Optimizing Promotional Spending* (Case No. 4127). Harvard Business Publishing. (Coursepack PDF.)

THANK YOU!

